

Health Economics

ECON 465 (3 Credits)

West Virginia University – Department of Economics

Instructor Information

Instructor: Caroline A. Welter

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Office: Reynolds Hall 4120

Term: Spring 2026

Class Meeting Time: MWF 9:30 AM – 10:20 AM

Office Hours:

- Wednesday 10:30 AM - 12:00 PM
- Friday 10:30 AM - 11:30 PM

Class Location: Reynolds Hall Room 5213

Prerequisite Courses:

- ECON 201 - Principles of Microeconomics
- ECON 225 - Elementary Business & Economics Statistics, or
- STAT 211 - Elementary Statistical Inference.

Course Description

This course analyzes and evaluates critical questions in health, health care, and health care policy using economic theory and tools. Topics covered include: the demand for health and health care; economic approaches to studying healthy and risky behaviors; the economic causes and correlates of risky health behaviors and health disparities; the design and incentive structures of health care policy.

Learning Outcomes

By the end of this course, you should be able to:

- Analyze and apply economic concepts and models to evaluate decisions related to health, health behaviors, and health care choices.
- Evaluate the role of economics in shaping and informing health and healthcare policy decisions at local, national, and global levels.

- Interpret and apply economic models to identify and explain the causes and consequences of health disparities across populations.
- Analyze the demand for health insurance and assess how concepts like moral hazard and adverse selection influence health insurance markets.
- Compare and contrast the structure, function, and economic behavior of key healthcare industries, including hospitals, physicians, insurers, and pharmaceutical companies.
- Critique the role of government in regulating, financing, and delivering healthcare, and propose policy solutions to improve healthcare outcomes and efficiency.

Textbook

We will primarily be following the textbook listed below. I highly recommend that you do not purchase the textbook until you attend class.

Health Economics by Bhattacharya, Hyde and Tu

- ISBN 10: 113702996X
- ISBN 13: 9781137029966

Assessments

Assignments (30%)

There are four assignments in this course, collectively accounting for 30% of your final grade. Each assignment is worth up to 7.5% of the overall grade. All assignments will be available on eCampus. Assignments will consist of a variety of question formats, including multiple-choice, short-answer, graphing exercises, and writing prompts. They will be graded based on accuracy and effort.

Exams (30%)

There are two exams in this course, making up 30% of your final grade. Each exam is worth 15% of the overall course grade. All exams will be proctored in the classroom during regularly scheduled class time. There will be no make-up exams. Each exam will consist of multiple-choice, calculation-based, and short-answer questions.

Policy Brief Project (30%)

For your final group project, you will work in pairs to complete a policy brief on a topic covered during the semester. This assignment is designed to help you apply the economic concepts learned in class to a real-world policy issue. You will research the topic using reliable academic and policy sources, evaluate the effectiveness of a specific policy using empirical evidence, and develop clear, potential recommendations. Over the course of the semester, you will submit several components of the project: an abstract, an outline, a written policy brief, presentation slides, and a 10-minute group presentation. The written policy brief should be no more than 10 pages in total (including references and appendices), formatted with 1.5 spacing, 12-point Times New Roman font, and 1-inch margins. This policy brief must include a literature review and demonstrate critical thinking and evidence-based reasoning. This project is your chance to explore a policy topic in depth, connect theory with practice, and develop skills in research, writing, collaboration, and presentation. **More details about the project will be posted in a separate document on eCampus at a later date.**

Portion of Assignment	Weight	Due Date
Abstract	10%	3/27/2026
Outline	10%	4/6/2026
Literature Review	10%	4/20/2026
Slides	10%	4/27/2026
Presentation	10%	4/27/2026 to 5/1/2026
Final Policy Brief	40%	5/5/2026
Group Member Evaluation	10%	5/5/2026
Total	100%	

Attendance (10%)

Active participation in class is essential for learning and success in this course. Beginning on 02/26/2026, attendance will count for 10% of your final course grade. Attendance will be recorded each class period starting on this date.

Students are expected to arrive on time and remain for the entire class session. Consistent attendance and participation contribute to a productive learning environment and directly support your success in the course.

In the case of a missed class, it is your responsibility to catch up on any missed work by reviewing materials on eCampus or coordinating with classmates. Absences will not be excused without appropriate documentation.

Grading Policy

The following grading scale will be used to determine course grades:

A: 90% – 100%

B: 80% – 89%

C: 70% – 79%

D: 60% – 69%

F: 0% – 59%

Course grades will be weighted averages of your performance using the following weights:

30% of course grades will be determined by 4 assignments.

30% of course grades will be determined by 2 exams.

30% of course grades will be determined by the policy brief project.

10% of course grades will be determined by attendance.

Grading Timeline and Feedback

You can generally expect your grades to be posted approximately one week after the due date. However, please be aware that occasional delays can occur. Your understanding and patience in such situations are greatly appreciated.

Extra Credit

The instructor reserves the right to offer extra credit for the entire class or individual students, at the instructor's discretion.

Course Schedule

Week	Topic	Material	Major Due Dates
1	Introduction / Demand for Health Care	Ch. 1–2	
2	Demand for Health / Grossman Model	Ch. 2–3	
3	Socioeconomic Disparities in Health	Ch. 4	
4	Supply of Health Care: Physicians and Hospitals	Ch. 5–6	Assignment 1
5	Insurance Markets	Ch. 7	
6	Review and Exam 1	Ch. 1–6	Assignment 2; Exam 1
7	Adverse Selection and Moral Hazard	Ch. 8–11	
8	Policy Brief / Innovation and Technology	Ch. 12–13	
9	Health Technology Assessment	Ch. 14	Assignment 3
10	Health Policy and National Systems	Ch. 15–16	Policy Brief Abstract
11	Comparative Health Care Systems	Ch. 17–18	Policy Brief Outline
12	The American Health Care System	Ch. 18	
13	Review and Exam 2	Ch. 12–18	Assignment 4; Exam 2
14	Special Topics	Readings TBD	Policy Brief Literature
15	Policy Brief Presentations	—	Presentations
16	Finals Week	—	Final Policy Brief

Course Policy

Communication Policy

If you have any questions about course policies or your grade at any point during the semester, please attend my office hours, as in-person discussions are the most effective way to address concerns. If you are unable to attend, you may email me using your official WVU email (name@mix.wvu.edu), as I cannot respond to non-WVU email accounts. Email exchanges should be concise and used for clarifications rather than lengthy discussions.

Emails sent during business hours (Monday–Friday, 9 AM–5 PM) will typically receive a response within 24 hours. Emails sent over the weekend will be addressed by 5 PM on Monday. Emails should not include confidential information such as grades or personal identifying information.

No Late Assignment Policy

All assignments must be submitted by the stated deadline. Late submissions will not be accepted under any circumstances. You are expected to manage your time effectively and plan ahead to ensure timely submission. If an emergency arises that prevents on-time submission, you should reach out to me as soon as possible to discuss their situation.

Exam Policy

All exams are strictly closed book, and the use of electronic devices, including smartphones and tablets, as calculators is prohibited. Only non-programmable calculators are permitted. Cheating and plagiarism will not be tolerated under any circumstances, and any violation of the WVU Academic Policy will be reported to the Dean of Students' Office for appropriate action, which may include academic penalties and disciplinary consequences.

Makeup exams will not be granted unless prior approval has been obtained. If you are facing exceptional circumstances, you must contact me in advance to make appropriate arrangements. In cases of unexpected absences, verifiable documentation must be provided to justify the absence; failure to do so will result in a zero for the missed exam.

Use of Artificial Intelligence (AI)

You may use AI tools to support their research and writing process, such as for brainstorming, structuring ideas, or refining language. However, AI-generated content should not replace original analysis, critical thinking, or proper citation of sources. You are responsible for ensuring that all submitted work is your own and adheres to academic integrity standards. Any misuse of AI, including plagiarism or over-reliance on generated content, may be subject to academic penalties.

Institutional Policy

Academic Integrity

The following free tutorials allow you to better understand academic integrity at WVU. If you are unfamiliar with WVU policies concerning Academic Integrity, the University has produced a couple of easy-to-follow tutorials.

- [WVU Academic Integrity Tutorial](#).
- [WVU Plagiarism Avoidance Tutorial](#)

Institutional Policies

You are responsible for reviewing [policies](#) on inclusivity, academic integrity, incompletes, sale of course materials, sexual misconduct, adverse weather, as well as student evaluation of instruction, and days of special concern/religious holiday statements.

Instructor's Authority and Flexibility

Please note that I reserve the right to make decisions and adjustments regarding course policies, assignments, and grading as necessary to ensure the best learning experience for all students. While this syllabus provides a framework for the course, my decisions are final and may supersede any information not explicitly stated in the syllabus. It is your responsibility to stay informed of any updates or changes announced in class or through course communications.